Aurelia Bank Group

Annual Report 2025

This report is fictional. Aurelia Bank Group does not exist; every name and figure in this document was invented to demonstrate a document question-answering application.

Letter from the Chair

2025 was a year of steady progress for Aurelia. Higher average interest rates in the first half, disciplined cost management and a resilient loan book allowed us to deliver record profits while strengthening our capital position.

Net profit attributable to shareholders reached EUR 1,512 million, up 11% on 2024. Return on tangible equity improved to 13.4%, ahead of our 12% target for the year.

We served 9.8 million customers across Spain, Portugal and Mexico, of whom 6.1 million are now digital customers. Mobile sales accounted for 64% of new retail products sold.

The Board will propose to the Annual General Meeting a final cash dividend of EUR 0.48 per share, bringing total shareholder distributions for 2025 to EUR 0.79 per share including the interim dividend.

Elena Marquez, Chair

Financial highlights

Indicator	2025	2024	Change
Net interest income (EUR m)	4,130	3,824	+8.0%
Net fee and commission income (EUR m)	1,286	1,201	+7.1%
Total operating income (EUR m)	5,702	5,288	+7.8%
Operating expenses (EUR m)	-2,509	-2,433	+3.1%
Cost-to-income ratio	44.0%	46.0%	-2.0 pp
Loan loss provisions (EUR m)	-702	-745	-5.8%
Net profit attributable (EUR m)	1,512	1,362	+11.0%
Earnings per share (EUR)	0.98	0.87	+12.6%

Net interest income rose 8.0% to EUR 4,130 million, driven by loan growth of 4% and a higher net interest margin of 2.41% (2024: 2.33%). The margin peaked in the second quarter and narrowed slightly in the second half as deposit costs caught up with rate cuts.

Fee income grew 7.1%, led by asset management and payments. Operating expenses grew 3.1%, below inflation, so the cost-to-income ratio improved by two percentage points to 44.0%.

Capital and liquidity

Indicator	31 Dec 2025	31 Dec 2024
CET1 ratio (fully loaded)	13.2%	12.7%
Total capital ratio	17.6%	17.1%
Leverage ratio	5.9%	5.7%
Liquidity coverage ratio (LCR)	154%	149%
Net stable funding ratio (NSFR)	128%	126%
Loan-to-deposit ratio	92%	94%

The CET1 ratio closed the year at 13.2%, 50 basis points above 2024 and comfortably above both our 12.0% management target and the regulatory requirement of 9.1%. Organic capital generation added 118 basis points, partly offset by dividends, share buybacks and growth in risk-weighted assets.

Customer deposits grew 6% to EUR 198 billion, and the liquidity coverage ratio stood at 154%. The Group issued EUR 3.5 billion of senior preferred and covered bonds during the year.

Risk management

The non-performing loan (NPL) ratio fell to 2.6% from 2.9% a year earlier, and NPL coverage rose to 71%. The cost of risk improved to 41 basis points of average loans (2024: 45 basis points), reflecting lower defaults in consumer lending and recoveries in the corporate portfolio.

Exposure to commercial real estate represents 4.8% of the loan book, with an average loan-to-value of 52%. Stage 2 loans fell to 6.9% of the portfolio.

Main risks for 2026: a faster decline in interest rates compressing the margin, weaker growth in Mexico, and cyber risk. Sensitivity analysis shows that a 100 basis point parallel fall in rates would reduce net interest income by approximately EUR 210 million over twelve months.

Sustainability

Sustainable financing reached EUR 14.2 billion in 2025, against a target of EUR 12 billion. Financed emissions in the power sector fell 18% compared with the 2021 baseline.

Outlook for 2026

For 2026 we expect mid-single-digit loan growth, broadly stable net interest income as volume growth offsets lower rates, and operating expenses growing below inflation. We target a return on tangible equity of at least 13% and a cost of risk below 45 basis points.

Our capital target remains a CET1 ratio of around 12.0% to 12.5%. Capital above that range will be distributed to shareholders. The Board intends to maintain a payout ratio of 50% of net profit, combining cash dividends and share buybacks, and has approved a new buyback programme of up to EUR 400 million subject to supervisory authorisation.

Shareholder information

Final dividend proposed: EUR 0.48 per share. Ex-dividend date: 14 April 2026. Payment date: 16 April 2026. Annual General Meeting: 27 March 2026.

Again: Aurelia Bank Group is fictional, and nothing in this document is investment advice.